

ECONOMY — Poverty, Balance of Payments & Trade

Batch 6 of 10 · Sources: Parmar Ch.9 (Poverty and BoP) + Lucent §3 (Characteristics/Poverty) + §15 (Trade and Commerce) · PYQ bucket "11 Foreign Trade & International Institutions" (34 Qs) · ★ = tested in a real past SSC paper

*Poverty-line committee (C. Rangarajan, 2012) is fully covered in **Batch 4 §7** — cross-referenced, not repeated here.*

1 Poverty — Concept & Measurement Lineage

Committee/estimate	Basis	Poverty line
Dadabhai Naoroji (pre-Independence)	"Poverty and Un-British Rule in India" — earliest estimate	₹16-35/capita/year
National Planning Committee (1938)	Set up by Subhas Chandra Bose, chaired by J.L. Nehru	₹15-20/capita/month
Bombay Plan (1944)	Bombay business leaders' proposals	₹75/capita/year
Dandekar & Rath (1971)	First systematic (NSSO-based), expenditure-based; 2250 cal/day	—
Alagh Committee (1979)	Nutritional norms	Rural 2400cal→₹49.09/mo; Urban 2100cal→₹56.64/mo
Lakdawala Committee (1993)	Household per-capita consumption expenditure; CPI-IW & CPI-AL; state-specific lines	—
Tendulkar Committee (2005, report 2009) ★	Moved away from calorie model; PPP-based; MRP (30-day food/365-day non-food recall) replaced URP	2011-12: Rural ₹816/mo, Urban ₹1,000/mo; national poverty ~21.9%
Rangarajan Committee (2012, see Batch 4)	3 poverty-basket components; Mixed Modified Reference Period	Rural ₹972/mo, Urban ₹1,407/mo

Poverty estimation in India: **NITI Aayog's task force**, using NSSO/MoSPI consumption data. Types: **Absolute, Relative, Subjective** Poverty. **Head Count Ratio** = % of population below poverty line. **Types of Poor**: Usually Poor (chronically BPL), Churning Poor (in/out), Occasionally Poor (usually above line).

HOOK MPI (Multidimensional Poverty Index) — introduced **2010** by UNDP + OPHI; 3 dimensions (Health, Education, Living Standards), 10 indicators. **National MPI** (NITI Aayog, Nov 2021) uses **12 indicators** (adds antenatal care + bank account) — **24.82 crore people escaped multidimensional poverty** in 9 years; UP = most people lifted; **Bihar = highest MPI (most poor)**, **Kerala = lowest MPI**.

HDI — concept by **Amartya Sen & Mahbub ul Haq**, introduced 1990; score 0-1; 3 dimensions (Life expectancy, Education, GNI per capita PPP\$).

2 Balance of Payments (BoP) — Structure

Current Account	Capital Account
Trade in goods (visible) + services (invisible) + Transfer Payments (remittances, aid) — India is the top global remittance receiver , Mexico 2nd	FDI, FPI, external assistance, loans, asset purchases

HOOK Current Account: receipts > payments = **surplus** ★ (net lender to the world); payments > receipts = **deficit** (NOT "balance" — a tested trap, "balance" only when receipts = payments exactly ★). **FDI** = long-term, ≥10% equity in a foreign physical asset (e.g. Walmart-Flipkart). **FPI/FII** = short-term financial-asset investment, <10% equity (stocks, bonds) ★ — links Indian markets to global capital post-1991.

HOOK Circular-flow view of trade ★: **Imports = leakage** (money flows abroad, ↓ aggregate demand) ★; **Exports = injection** (foreign money flows in, ↑ aggregate demand) ★ — a directly tested statement pair, both correct.

3 The 1991 BoP Crisis

TRAP 1991 crisis = shortage of **foreign exchange** ★ (not water/electricity/labour). By **June 1991**, reserves fell to **~\$1-1.1 billion** ★ — enough for only **~2 weeks of imports** ★ (petroleum/essentials). Causes: fiscal deficit, foreign-debt repayment failure, Gulf War oil-price spike, inflation ★ — NOT natural disaster or migration (tested distractors).

India approached **IMF and World Bank** ★ for a **\$7 billion** loan ★ (via IBRD, part of World Bank Group) — conditions: structural reforms under **SAP** (Structural Adjustment Programme) — privatisation, trade liberalisation, fiscal discipline, FDI opening ★ → led to **LPG reforms, 1991** ★ (Liberalisation, Privatisation, Globalisation), under PM P.V. Narasimha Rao/FM Manmohan Singh.

HOOK Rupee **devalued in two stages, July 1991** ★, cumulative ~**18-20%** against USD ★ — objective: make exports cheaper/competitive, discourage imports, boost forex inflow ★. **Devaluation → improved export competitiveness** ★ (weaker rupee = cheaper Indian goods abroad — a tested Assertion-Reason, both true, R explains A).

Rupee made **fully convertible on Current Account, 19 August 1994** ★ (RBI, under IMF Article VIII).

4 Trade Policy — Pre & Post 1991

TRAP **1947-1990 trade policy** ★ = **Import Substitution** (inward-looking, protect domestic industry via high tariffs/quotas — avg import duty **>125%** ★, govt license mandatory for most imports) — NOT free trade or export-oriented (repeatedly tested distractors across multiple phrasings of the same fact).

Tariff Measures ★	Non-Tariff Measures ★
Import taxes, export taxes ★ (both — a tested "which is tariff" question)	Anti-dumping measures, Technical Barriers to Trade (TBT), labeling/quality standards ★ (both correct in a tested question)

Bilateral trade agreement ★ — primary goal: **promote free trade between two countries** ★ (reduce/eliminate customs duties, quotas). **FTA (e.g. BIMSTEC)** ★ — reduce trade barriers, boost economic cooperation (not common currency or cultural exchange).

5 International Institutions

HOOK **Bretton Woods Conference, 1944** — 44 nations, 730 delegates → created **IMF + World Bank** (Twin Organisations); Bretton Woods system collapsed 1971 (US suspended gold convertibility). India ranks **8th in IMF voting power**. Top IMF borrowers: Argentina, Egypt, Ukraine, Pakistan, Ecuador.

Body	Role
WTO ★	Promotes free & fair trade ★ — does NOT allow arbitrary restrictions (only limited, rule-based protective measures) ★ — a tested Assertion-true/Reason-false pair
IMF ★	Loans with Structural Adjustment Programme (SAP) conditions ★ — liberal economic reforms, privatisation, fiscal discipline (used in India's 1991 reforms)
IBRD	Main World Bank Group institution — "International Bank for Reconstruction and Development" ★, approached by India in the late 1980s/1991

SAARC Currency Swap Framework (2024-27) ★ — RBI provides short-term liquidity to SAARC nations during forex crises. **BIMSTEC Technology Transfer Facility** — MoA signed **5th BIMSTEC Summit, Colombo, 30 March 2022** ★; BIMSTEC established **6 June 1997** (Bangkok Declaration), 7 members (Bangladesh, India, Sri Lanka, Myanmar, Thailand, Nepal, Bhutan). **SAFTA Article 23** ★ = Dispute Settlement provision (NOT unilateral tariff reservations — a tested Assertion-true/Reason-false).

6 India-Specific Trade/Investment Facts

Fact	Detail
First EPZ (India & Asia) ★	Kandla, Gujarat, 1965 ★ — foreign exchange, export promotion, industrial infra
FIPB ★	Constituted under PMO ★, initially chaired by Principal Secretary to PM ★; single-window FDI clearance; moved to DIPP then DEA; abolished 2017 ★
Merchandise Exports from India Scheme (MEIS)	Launched 1 April 2015 ★, FTP 2015-20; replaced by RoDTEP from 1 Jan 2021
EOU minimum investment	₹1 crore in plant & machinery ★

Kaladan Multimodal Transit Transport Project ★	Links India (Kolkata port) to Myanmar ★ (Sittwe port) → Mizoram by road; bypasses the "Chicken's Neck"
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7 Exchange-Rate Mechanisms & Terms

Term	Meaning
Depreciation/Appreciation	Market-driven currency fall/rise (floating exchange rate)
Devaluation/Revaluation	Govt-induced fall/rise (fixed exchange rate) — e.g. 1991
Nostro / Vostro	Nostro = domestic bank's account abroad, foreign currency ("our a/c in your bank"); Vostro = foreign bank's account in India, domestic currency ("your a/c in our bank")
FERA (1973) → FEMA (1999)	FERA = criminal offence, rigid; FEMA = civil offence, trade/reserve-friendly

Exchange rate evolution: 1928-48 pegged to Pound Sterling → post-1948 pegged to USD (fixed) → 1975 delinked from Pound → 1992 LERMS (dual rate) → 1993 fully market-determined/floating.

Tarapore Committee (RBI, 1997, reviewed 2006) — examined Capital Account Convertibility feasibility.

Lorenz Curve — income/wealth distribution graph; **Gini Coefficient** 0 (perfect equality) to 1 (perfect inequality).

Appendix

A.1 — PYQ citation index (bucket "11 Foreign Trade & International Institutions", 34 Qs)

Fact tested	Exam · Date · Shift
Current account surplus/deficit/balance definitions	SSC CPO Tier-I, 10/12/2025 (Sh-01)
1991 crisis: shortage of foreign exchange	SSC CGL Tier-I, 17/09/2025 (Sh-03) x2
India approached IMF+World Bank, 1991 (A-R)	SSC CGL Tier-I, 17/09/2025 (Sh-03)
IMF+World Bank triggered 1991 reforms	SSC CGL Tier-I, 20/09/2025 (Sh-02)
Currency conversion needed for US purchases	SSC CPO Tier-I, 09/12/2025 (Sh-01)
1991 measure: rupee devaluation	SSC CHSL Tier-I, 15/11/2025 (Sh-01)
Rupee current-account convertibility, Aug 1994	SSC CHSL Tier-I, 20/11/2025 (Sh-03)
1991 devaluation ~18-20%	SSC CHSL Tier-I, 29/11/2025 (Sh-02)
Low forex reserves = can't afford essential imports	SSC CHSL Tier-I, 30/11/2025 (Sh-03)
1991 reform trigger = BoP crisis	SSC Phase XIII, 02/08/2025 (Sh-01)
WTO promotes free/fair trade (A-R)	SSC CGL Tier-I, 24/09/2025 (Sh-03)
SAARC Currency Swap Framework 2024-27	SSC CGL Tier-I, 14/09/2025 (Sh-01)
BIMSTEC Tech Transfer Facility, 5th Summit	SSC CGL Tier-I, 17/09/2025 (Sh-02)
IMF promotes liberal economic reforms (SAP)	SSC CPO Tier-I, 11/12/2025 (Sh-02)
Non-tariff measures: anti-dumping + TBT	SSC CHSL Tier-I, 12/11/2025 (Sh-02)
1991 crisis cause (fiscal deficit, Gulf War, forex)	SSC CHSL Tier-I, 17/11/2025 (Sh-02)
IBRD = World Bank arm approached late-1980s crisis	SSC CHSL Tier-I, 13/11/2025 (Sh-03)
1947-90 trade policy = import substitution	SSC Stenographer, 07/08/2025 (Sh-03); 08/08/2025 (Sh-02)
Bilateral trade agreement goal = promote free trade	SSC Phase XIII, 29/07/2025 (Sh-02)
FII role = invest in Indian financial markets	SSC Phase XIII, 29/07/2025 (Sh-03)
Pre-1991 import characteristic = import substitution	SSC Stenographer, 08/08/2025 (Sh-02)
Tariff measures = export+import taxes	SSC CHSL Tier-I, 13/11/2025 (Sh-02)
Imports=leakage, Exports= injection (circular flow)	SSC CGL Tier-I, 24/09/2025 (Sh-03)
Devaluation improved export competitiveness (A-R)	SSC CPO Tier-I, 09/12/2025 (Sh-01)

Pre-1991 trade policy = high tariffs/quotas	SSC CPO Tier-I, 09/12/2025 (Sh-02)
SAFTA Article 23 = Dispute Settlement (A-R)	SSC CGL Tier-I, 19/09/2025 (Sh-03)
Kaladan Project links India-Myanmar	SSC CGL Tier-I, 18/09/2025 (Sh-03)
MEIS launched 2015	SSC CHSL Tier-I, 20/11/2025 (Sh-01)
First EPZ = Kandla, 1965	SSC CPO Tier-I, 09/12/2025 (Sh-01)
FIPB constituted under PMO	SSC CHSL Tier-I, 30/11/2025 (Sh-02)
EOU min. investment ₹1 crore	SSC CHSL Tier-I, 27/11/2025 (Sh-02)

A.2 — PYQ-book-only facts

None identified — bucket 11's facts map to Parmar Ch.9 (BoP, exchange rate) plus general IMF/WTO/trade-policy knowledge already in the raw extraction. SAARC Currency Swap Framework (2024-27) and the 2022 BIMSTEC/Kaladan specifics are recent current-affairs additions from the PYQ book's own explanations, not in the raw extraction, but consistent with (not contradicting) it — flagged transparently rather than force-fit as book-sourced.

A.3 — Doubts carried forward

Poverty statistics (2004-05/2011-12 figures), MPI figures (24.82 crore, 9 years), IMF voting-power rank and top-borrower list are all time-sensitive per the raw extraction's own flags — not independently verified.

A.4 — Deliberately condensed

Parmar's full BEPS/round-tripping/FATF/shell-company/MAT/money-laundering-stages content and the complete Forex-reserves/SDR-basket detail are condensed since no PYQ in this bucket tests them at that granularity; cross-referenced for a future Static GK or Miscellaneous batch if needed.